NOTE 11 – INCOME TAXES

China Global Media, Inc. is a U.S. holding company incorporated in the state of Nevada and does not engage in any business operations. It has accumulated losses since its inception date and does not expect to generate any future revenue to offset these accumulated losses. Accordingly, there is no income tax provision or benefit for U.S. income tax purposes.

Phoenix International (China) Limited is a holding company incorporated in Hong Kong, PRC and is exempt from taxes on income or capital gains under the corporate tax laws thereof.

The Company's Chinese subsidiaries are governed by PRC's Income Tax Law and are subject to statutory income tax rate of 25%. For the years ended December 31, 2012 and 2011, the income tax provision for the Company was $2,342,181 and $2,765,968, respectively.

NOTE 11 – INCOME TAXES (CONTINUED)

PRC Ministry of Finance ("MOF") and State Administration of Taxation ("SAT") jointly issued Cai Shui [2008] Circular 1 ("Circular 1") on February 22, 2008. According to Article 4 of Circular 1, distributions of accumulated profits earned by a Foreign Invested Entity ("FIE") prior to January 1, 2008 to foreign investor(s) in 2008 or thereafter shall be exempt from withholding tax ("WHT") whereas distributions of the profit earned by an FIE after January 1, 2008 to its foreign investor(s) shall be subject to WHT. Since the Company intends to reinvest its earnings to further expand its businesses in mainland China, its foreign invested enterprises do not intend to declare dividends to their immediate foreign holding companies in the foreseeable future.